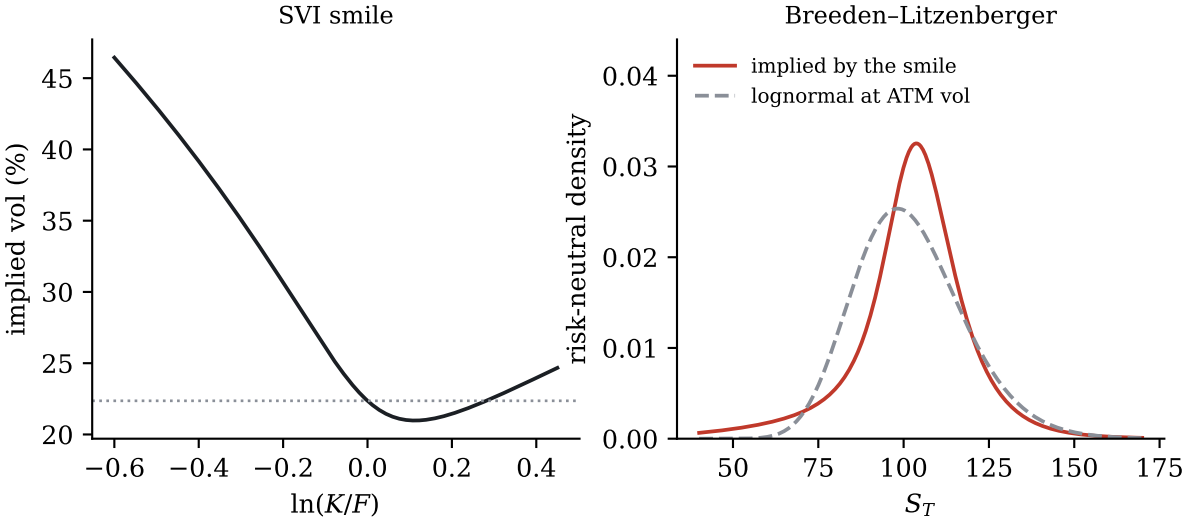
SVI smile
implied vol (%)
45
40
35
30
25
20
−0.6
−0.4
−0.2
0.0
0.2
0.4
ln(K/F)
Breeden–Litzenberger
implied by the smile
lognormal at ATM vol
risk-neutral density
0.04
0.03
0.02
0.01
0.00
50
75
100
125
150
175
S_T